Where is Indian consumption going?

What 69 months of UPI payments data say about how India spends, cross-checked against cash, bank credit, national accounts, vehicle registrations and company results.

AUTHOR **Soumyadeep Chakraborty**

DATA AND CODE github.com/sdchak89/india-consumption-tracker

₹101.5L cr

Merchant UPI, Oct 2025–Sep 2026, up 26.4% on the year before

35%

Share of FY26 merchant-UPI growth that matches consumption growth (19% in FY24); the rest is UPI growing relative to consumption

39–48%

Cash's estimated share of consumer spending, Apr–Jun 2026 (70–78% in Apr–Jun 2022)

₹11.2L cr

Added to non-housing consumer credit in a year; 76.5% in gold, personal and other loans whose end-use is unobserved

UPI growth remains near 26%; its lead over consumption is narrowing while confidence weakens and price pressures rise

+26.4%

merchant UPI, last 12 months

1 Merchant UPI is still growing about 25% a year, and the slowdown has levelled off

₹101.5 lakh crore in Oct 2025–Sep 2026, up 26.4%, from ₹23.0 lakh crore four years earlier. Monthly growth has stayed between 22% and 31% since early 2025.

49.7% → 16.6%

growth in the merchant-UPI ÷ consumption ratio, FY24 → FY26

2 Merchant UPI's lead over consumption growth is narrowing

Merchant UPI grew 26.5% in FY26 against 8.5% for consumption in rupees. The gap (UPI growing relative to consumption) shrank from 50% (FY24) to 29% to 17%, and the average merchant payment has stopped shrinking (₹595 → ₹601, latest two Oct–Sep years). Slower UPI growth ahead need not mean weaker demand.

39–48%

cash share of consumer spending (model)

3 Cash's spending share fell, while cash balances kept rising

Cash's model-estimated share of consumer spending fell from 70–78% (Apr–Jun 2022) to 39–48% (Apr–Jun 2026). ATM withdrawals fell ₹1.9 lakh crore in FY26, yet cash held by the public rose 12%.

₹9.5L cr

groceries, the largest named category

4 Food is the engine; liquor and paan shops are among the fastest growers

Groceries are the largest named category (₹9.5 lakh crore). Fast food grew 108% a year for four years. Liquor-shop UPI is up 70% with an unchanged average payment.

+21–22%

car and two-wheeler registrations

5 Vehicle buying and loan balances rebounded together

Car and two-wheeler registrations grew 21–22% in the year after the September 2025 GST cut (5–6% the year before). NBFC consumer-durable loans grew 56%; bank vehicle loans 6.1% → 15.5%. Credit data add financing context; UPI cannot identify how a payment was funded.

7.2%

real consumption growth, FY26

6 Real consumption is growing; prices and confidence are the watch-points

Real consumption grew 7.2% in FY26. Recent company sales reflect price and mix as well as volume (HUL: sales +15%, volume +7%); RBI urban confidence fell from 96.9 to 87.9, inflation is 5.5% and the RBI raised rates in October.

What to watch. SCENARIO If nominal consumption keeps growing 8.5% a year and the share-gain part halves from here, merchant UPI growth would be about 17.5% next year and 13% the year after. OUR INFERENCE The October rate hike and 5.5% inflation make the next two quarters the test: if company volumes hold and discretionary UPI stops slowing, the "cautious consumer" reading is wrong.

Source: NPCI; RBI; MoSPI; Vahan; company results for Jul–Sep 2026; analysis. UPI figures are nominal. ₹1 lakh crore (L cr) = ₹1 trillion. FY = April–March. **Next update:** clothing, electronics, online marketplaces and department stores will be revisited after the festive season, once October–November data are out (December 2026).

Merchant payments are only 30% of UPI value, but 63% of payments, and they are where consumption shows up

WHAT THE DATA SHOW

11%

of all UPI value sits in named consumer categories (₹37.8 lakh crore). NPCI puts another 45% of merchant value into an unnamed "Others" bucket.

Why P2P is left out. Person-to-person payments average ₹2,438 against ₹601 for merchants; most of it is money moving between people, not spending.

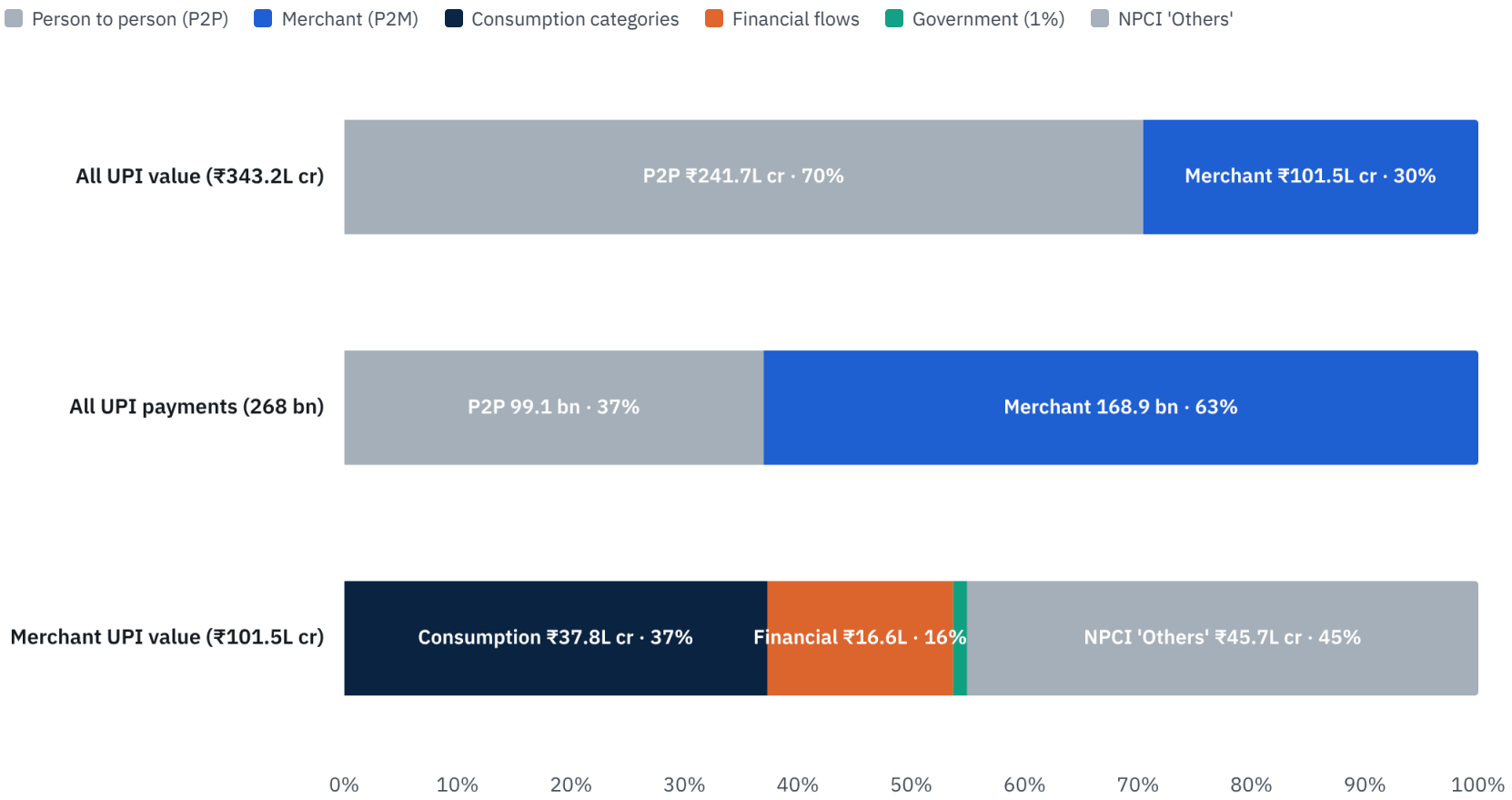
Some consumption does hide in P2P (a vegetable seller paid on a personal UPI ID), but NPCI does not split it out, so merchant UPI understates UPI's role in consumption.

Financial flows (brokers, loan repayments, digital gold) are ₹16.6 lakh crore of merchant UPI and are kept out of the consumption reads.

EXHIBIT 1

What UPI paid for in the last 12 months

Share of value or payments, Oct 2025–Sep 2026



Source: NPCI P2P/P2M and merchant category tables · data/npci/p2p_p2m_monthly.csv, merchant_categories_monthly.csv

Source: NPCI UPI P2P/P2M totals and merchant category tables (via the measure.thisindianlife.today archive); analysis. P2P = person to person; P2M = person to merchant. "Consumption" = named household-spending categories, including some mixed ones (uniforms, marketplaces, department stores).

Merchant UPI is still growing about a quarter a year; since early 2025 monthly growth has held between 22% and 31%

WHAT THE DATA SHOW

+26.4%

Merchant UPI reached ₹101.5 lakh crore in Oct 2025–Sep 2026, from ₹23.0 lakh crore four years earlier.

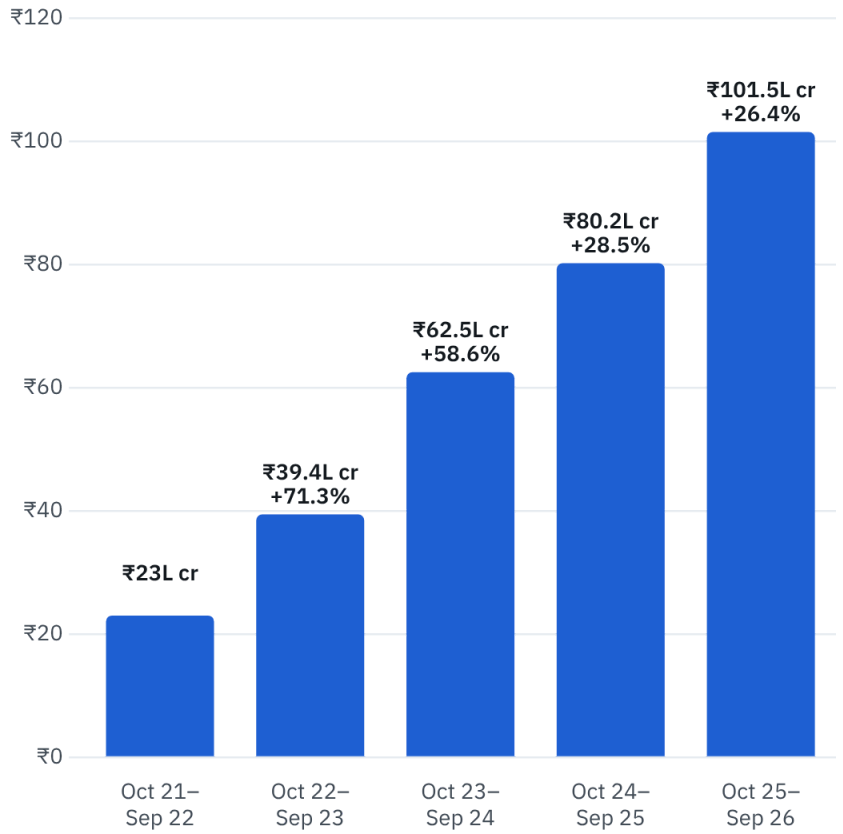
The steep slowdown of 2022–24 is consistent with UPI's adoption surge fading (adoption is not measured directly). Growth has been stable since; September 2026 was ₹8.87 lakh crore across 15.2 billion payments (+23.3% and +23.1%).

Online games (1.0–1.7% of value in 2025) stopped being published separately after August 2025. The dashed line removes them from both years, so it is an upper bound.

EXHIBIT 2

Merchant UPI per year

₹ lakh crore and growth on the year before, Oct–Sep years

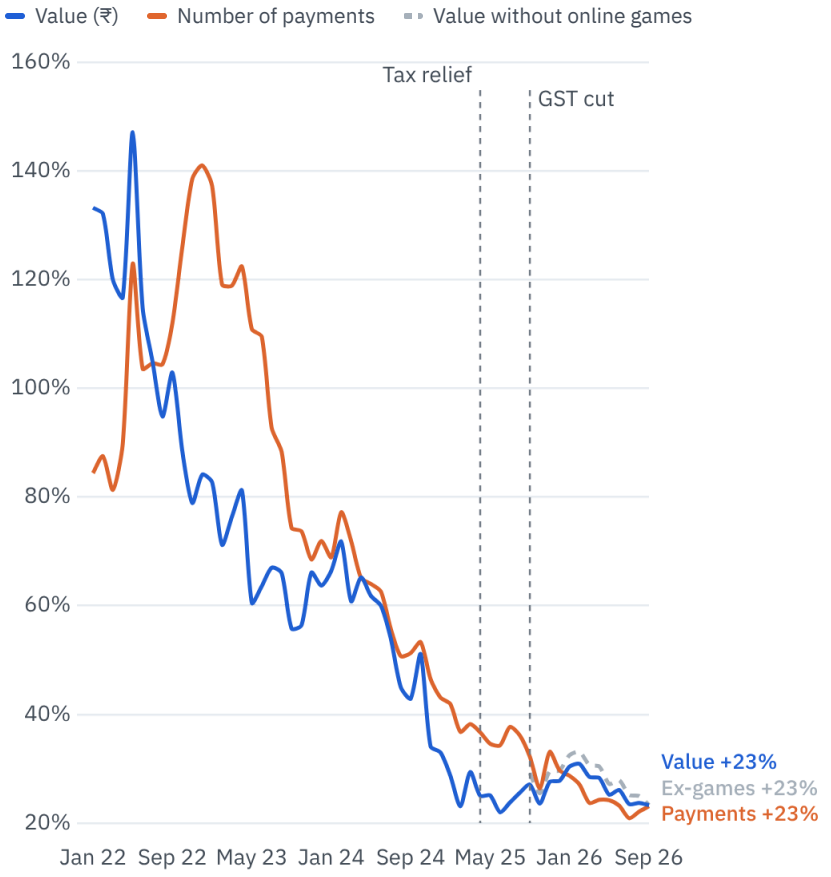


Source: NPCI merchant category table · data/npci/merchant_categories_monthly.csv

EXHIBIT 3

Growth on the same month a year earlier

%, monthly, Jan 2022–Sep 2026



Source: NPCI merchant category table · data/npci/merchant_categories_monthly.csv

Source: NPCI UPI ecosystem statistics (merchant category tables, Jan 2021–Sep 2026); analysis. Oct–Sep years so the latest year ends with the latest NPCI month. Online games = MCC 5816 "Digital Goods: Games", which included real-money gaming; not publishing a category does not mean the spending fell to zero.

Since May 2025, discretionary categories have grown slower than essentials on UPI in every month, by about 4 points on average

WHAT THE DATA SHOW

+26.4% vs +22.9%

Essentials rose to ₹24.0 lakh crore and discretionary to ₹6.5 lakh crore over the last 12 months.

Same 13 categories every month: the consumption categories NPCI published continuously over these 48 months, so list changes cannot create spikes.

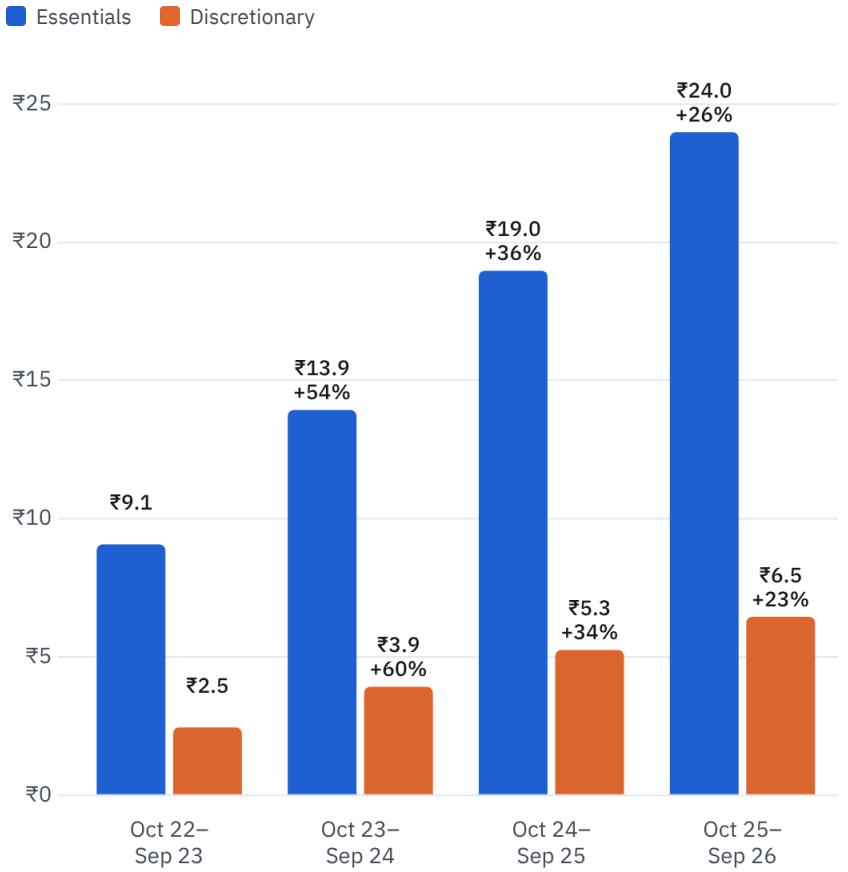
Essentials: groceries, dairy, meat, bakeries, pharmacies, fuel, telecom, utilities, department stores. **Discretionary:** restaurants, fast food, electronics, bars.

September 2026: essentials ₹2.10 lakh crore (+22.0%), discretionary ₹0.53 lakh crore (+17.7%).

EXHIBIT 4

Essentials vs discretionary per year

₹ lakh crore, fixed 13-category basket; labels = Oct–Sep total and growth on the year before

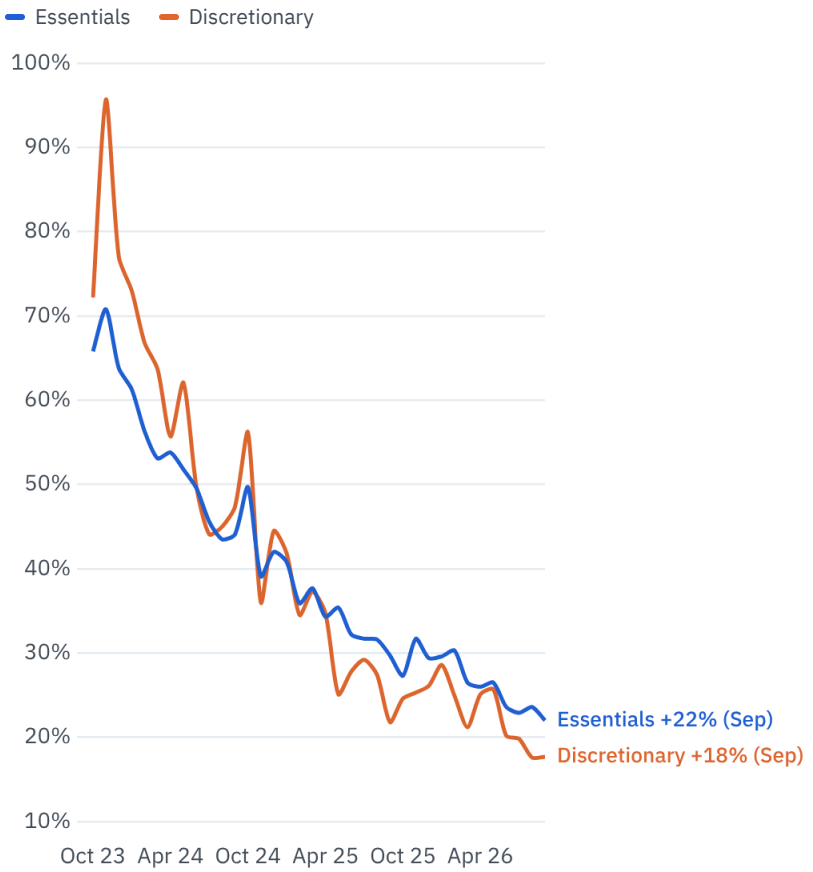


Source: NPCI merchant category table · data/npci/merchant_categories_monthly.csv

EXHIBIT 5

Monthly growth, same basket

Value growth on the same month a year earlier, Oct 2023–Sep 2026; end labels = September 2026 alone



Source: NPCI merchant category table · data/npci/merchant_categories_monthly.csv

Source: NPCI UPI ecosystem statistics (merchant category tables, Jan 2021–Sep 2026); analysis.

About 35% of merchant-UPI growth now matches consumption growth, up from 19% two years ago; the rest is UPI growing relative to consumption

WHAT THE DATA SHOW

FY26: merchant UPI grew 26.5% while consumption (PFCE, current prices) grew 8.5%. The split is an accounting split, not a causal estimate; it does not say where each rupee came from.

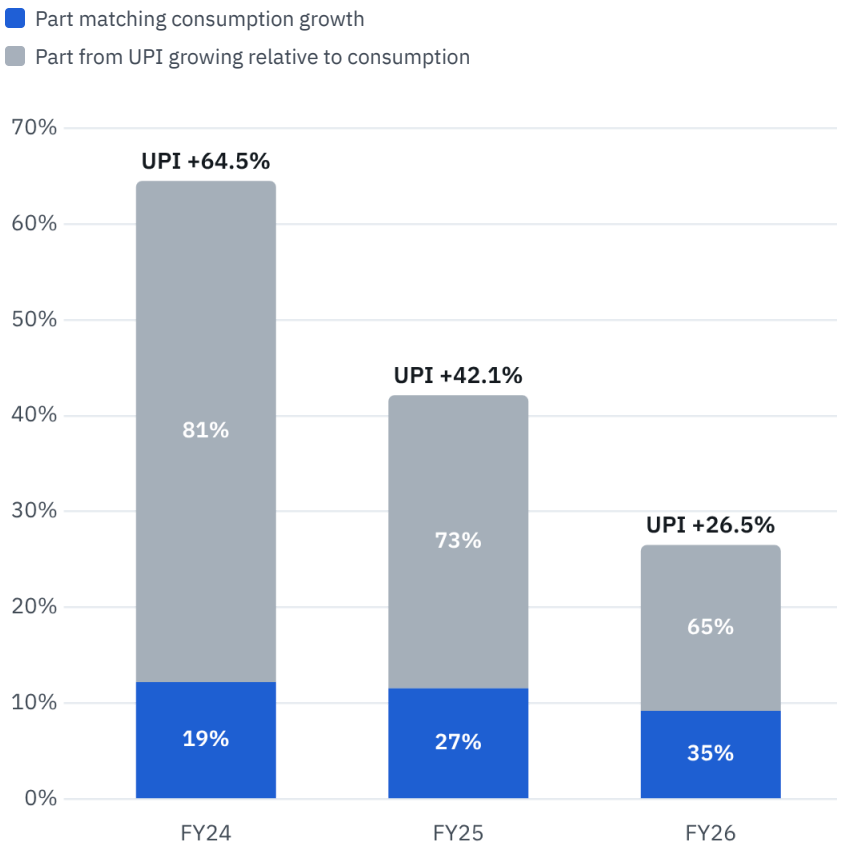
Cash held is not shrinking: currency with the public rose from ₹36.3 to ₹40.7 lakh crore (+12.0%), faster than consumption. **Cash withdrawn is:** ATM withdrawals fell from ₹30.6 to ₹28.7 lakh crore.

SCENARIO The share-gain part fell from 50% to 29% to 17%, down about 42% a year. If nominal consumption keeps growing 8.5% and the share-gain part halves from here, merchant UPI growth would be about 17.5% next year and 13% the year after.

EXHIBIT 6

Merchant UPI growth split into consumption growth and share gain

% growth; labels = share of UPI growth

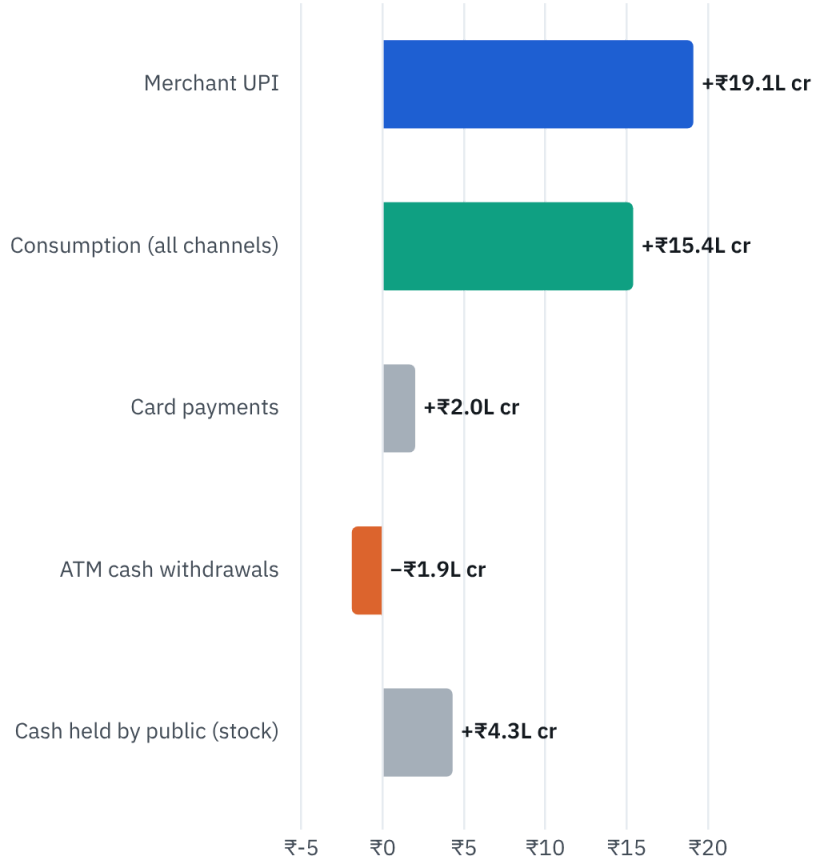


Source: NPCI P2P/P2M table; MoSPI PFCE, current prices (31 Aug 2026) · data/macro/size_ratios_fy.csv, gdp_pfce_annual.csv

EXHIBIT 7

What changed in FY26

Change from FY25, ₹ lakh crore



Source: NPCI; MoSPI; RBI payment system indicators; RBI Handbook Table 36 · data/macro/size_ratios_fy.csv, atm_cash_withdrawals_monthly.csv, card_spend_monthly.csv, currency_annual_fy_end.csv

Source: NPCI; MoSPI national accounts (base 2022-23); RBI payment system indicators and Handbook Table 36; analysis. FY = April–March. Bars split in proportion to the logs of the two growth factors; formula and notes on page 20.

The average merchant payment has stopped shrinking, consistent with maturing adoption

WHAT THE DATA SHOW

₹595 → ₹601

Average merchant payment, latest two Oct–Sep years, after ₹813, ₹664 and ₹643 in the three years before.

Flat or slightly up every month since January 2026, after falling 6–10% year on year in Jan–Aug 2025 and about 1.5–4.1% in Sep–Dec.

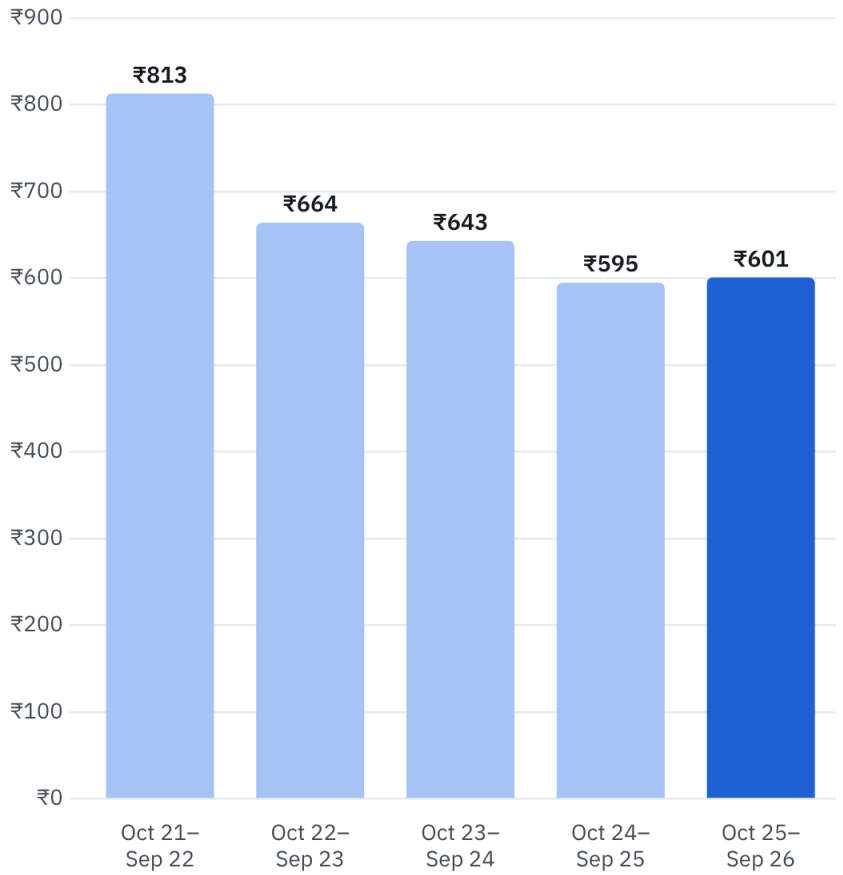
The fixed 13-category basket shows the same: ₹272.50 → ₹272.66.

The sub-1% rise is nominal and mix-sensitive; it does not establish larger real purchases.

EXHIBIT 8

Average merchant UPI payment per year

₹ per payment, Oct–Sep years

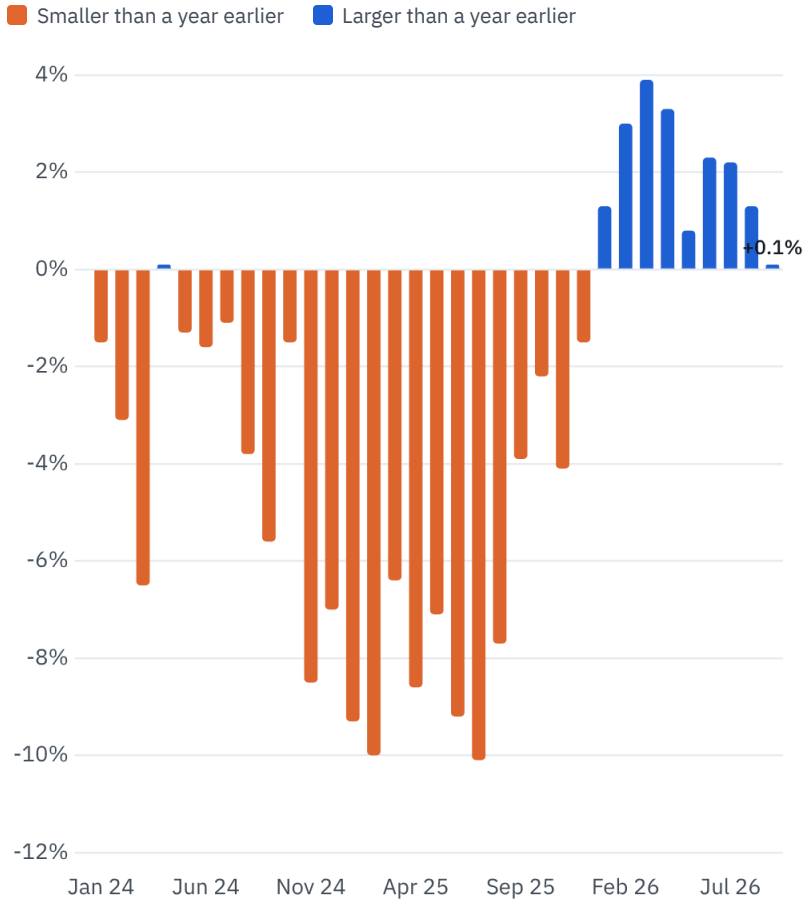


Source: NPCI merchant category table · data/npci/merchant_categories_monthly.csv

EXHIBIT 9

Change in the average payment

% on the same month a year earlier, Jan 2024–Sep 2026



Source: NPCI merchant category table · data/npci/merchant_categories_monthly.csv

Source: NPCI UPI ecosystem statistics (merchant category tables, Jan 2021–Sep 2026); analysis. Average payment = value ÷ number of payments, all merchant categories.

On a model estimate, cash fell from about three-quarters of consumer spending to under half in four years

WHAT THE DATA SHOW

39–48%

Cash's estimated share of consumer spending in Apr–Jun 2026, down from 70–78% in Apr–Jun 2022.

In rupees, digital consumer payments tripled from ₹8.9 to ₹27.7 lakh crore a quarter, while cash spending fell from ₹25.2 to ₹21.3 lakh crore.

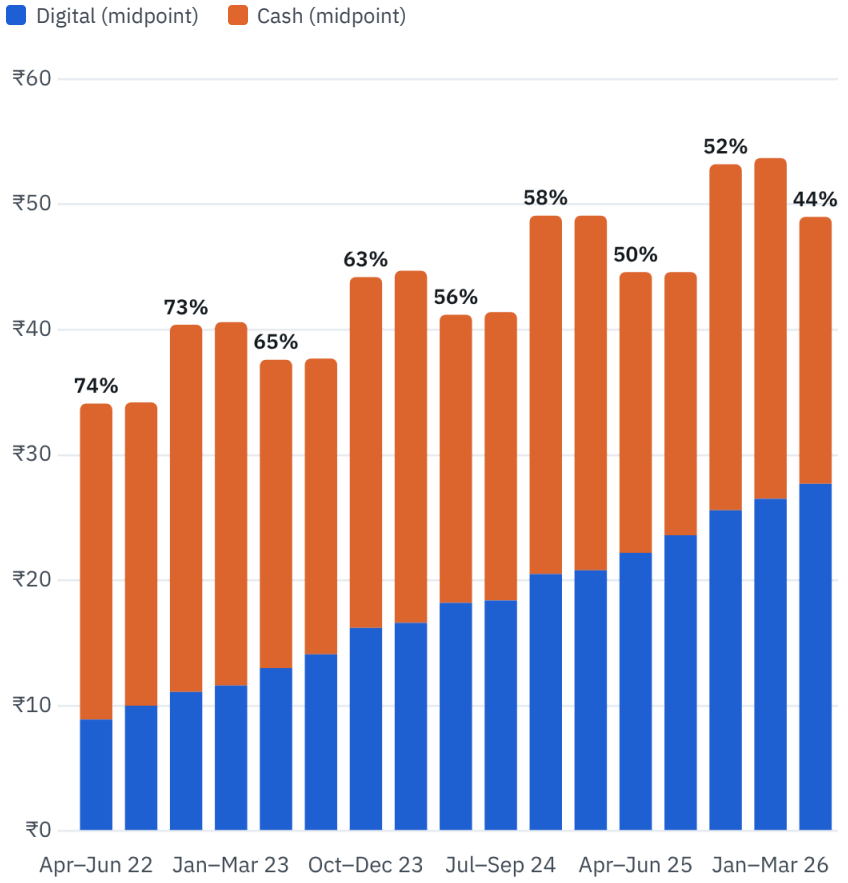
Strict version: UPI paid to brokers, lenders, credit-card bills and digital gold is removed. On the RBI article's method without that removal, cash is 31–40% (Apr–Jun 2026).

These are model estimates of cash use, not observed cash payments.

EXHIBIT 10

Consumer spending per quarter, paid digitally vs in cash

₹ lakh crore; labels = cash share (midpoint of range)

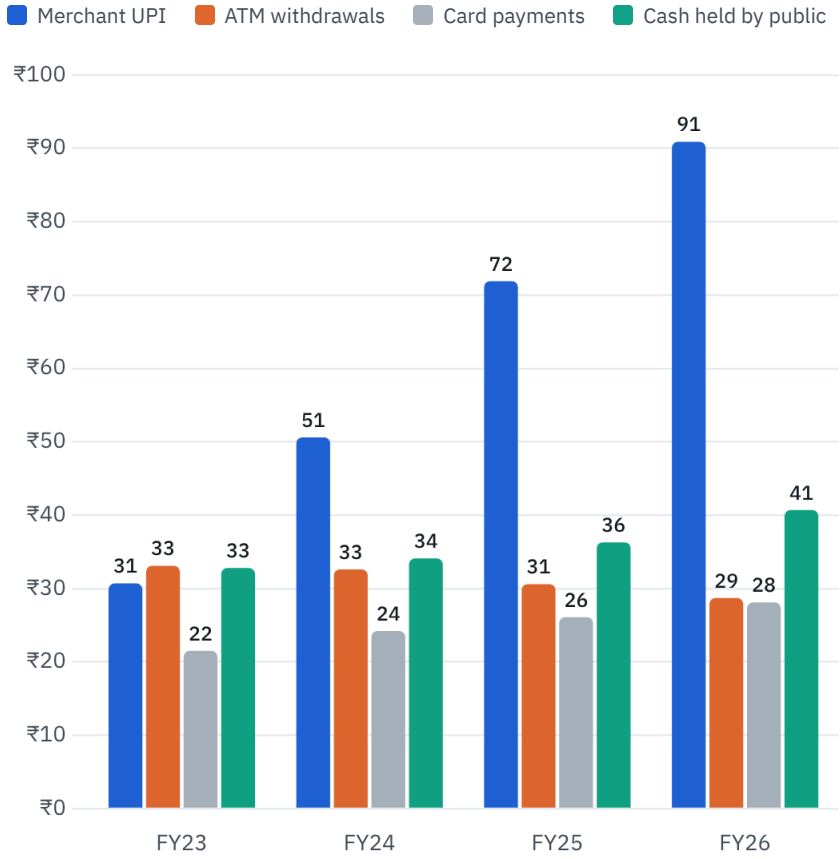


Source: RBI payment system indicators; NPCI; MoSPI quarterly PFCE · data/rbi/cash_share_quarterly.csv, cash_residual_components.csv; data/npci/merchant_categories_monthly.csv (financial categories removed)

EXHIBIT 11

How Indians pay

₹ lakh crore per year (cash held = stock at 31 March)



Source: RBI payment system indicators; RBI Handbook Table 36; NPCI · data/macro/atm_cash_withdrawals_monthly.csv, card_spend_monthly.csv, currency_annual_fy_end.csv; data/npci/p2p_p2m_monthly.csv

Source: Extension of Bhuyan, RBI Bulletin (Oct 2024; not RBI's views); RBI payment system indicators; MoSPI PFCE (base 2022-23); NPCI; analysis. Range: low estimate counts card and wallet payments outside shops as consumption, high estimate does not.

NPCI's unnamed "Others" took 58% of last year's increase in merchant UPI; among named categories, food at home added the most

WHAT THE DATA SHOW

₹21.2L cr

Increase in merchant UPI, Oct 2025–Sep 2026 vs the year before.

₹12.3 lakh crore (58%) went to NPCI's "Others". With categories moving on and off NPCI's top-29 list, ₹14.0 lakh crore (65.9%) falls outside this report's category attribution (named categories need at least 10 matched months), so no category view can explain most of UPI's growth.

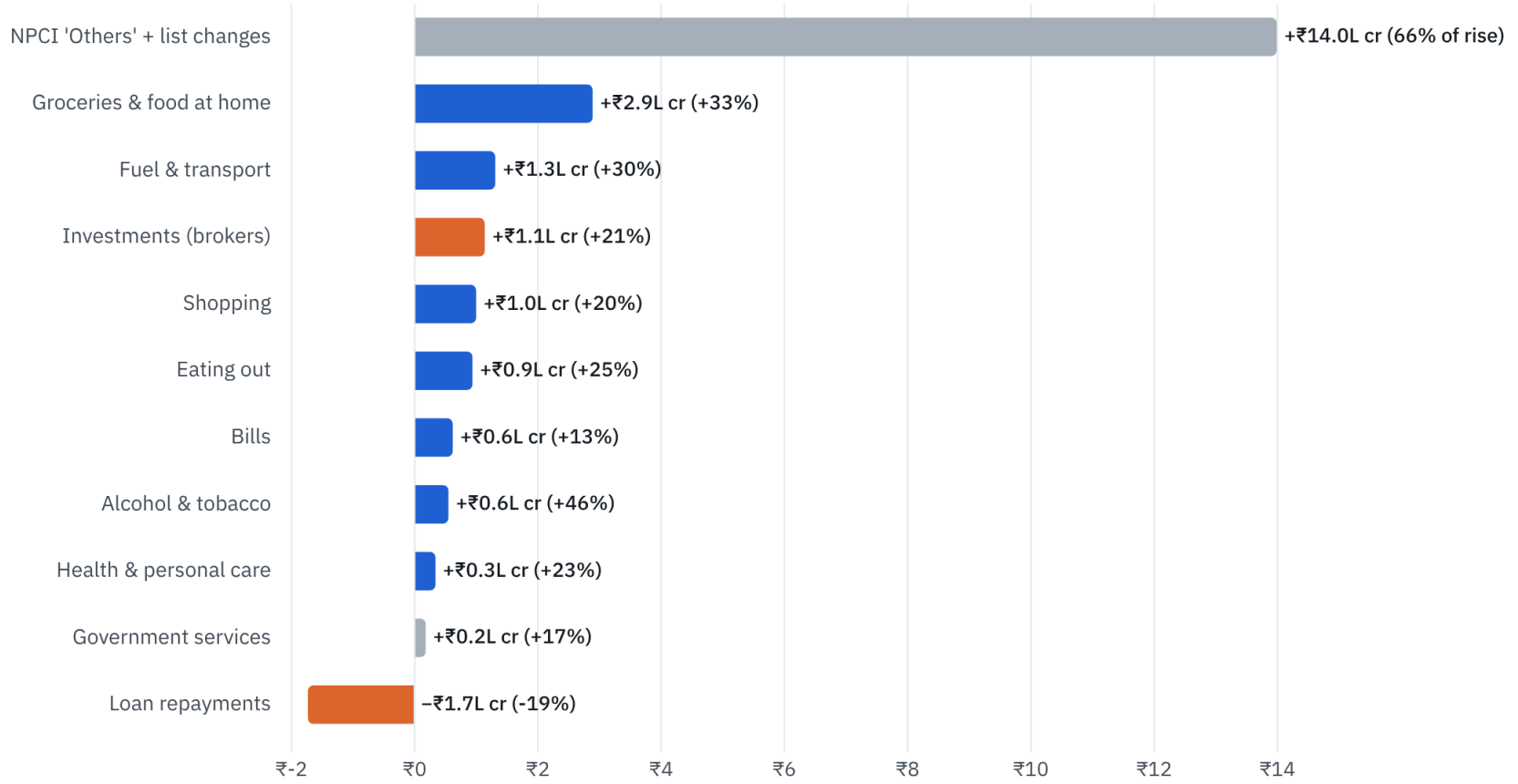
Of what can be seen, food at home added the most (+₹2.9 lakh crore, +33%), then fuel and transport (+₹1.3 lakh crore).

Loan repayments show a fall, most likely because of a possible classification break in September 2025 (page 11).

EXHIBIT 12

Where the extra merchant UPI went

Increase, ₹ lakh crore (growth); blue = consumption, orange = financial flows, grey = not broken out



Source: NPCI merchant category table · data/npci/merchant_categories_monthly.csv

Source: NPCI UPI ecosystem statistics (merchant category tables, Jan 2021–Sep 2026); analysis. A category counts by name only with at least 10 matched calendar months (published in both years); digital gold (9 months) and family clothing (4) therefore sit in the grey bar.

UPI moved 0.91 times GDP in FY26; the announced merchant fee targets selected payments above ₹2,000, with its start deferred

WHAT THE DATA SHOW

All UPI moved ₹314 lakh crore in FY26 (0.53× GDP in FY23). Merchant UPI reached ₹90.9 lakh crore, equal to 46% of consumer spending (21% in FY23). Gross payment flows, so the same rupee can move several times.

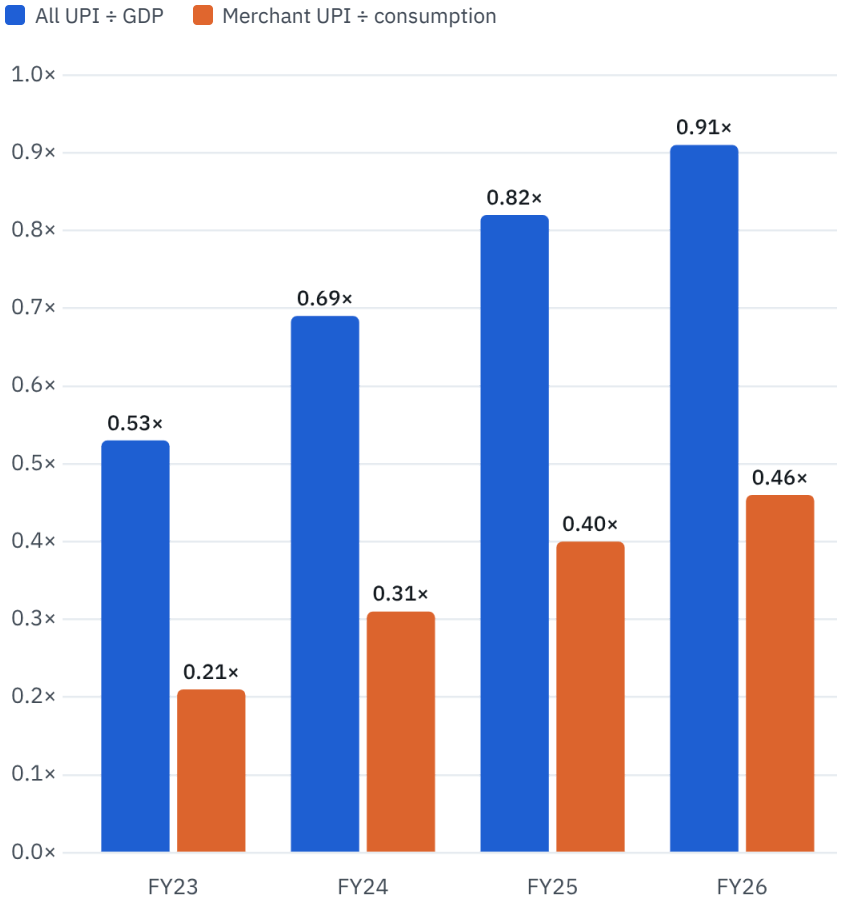
The fee: 0.4% (capped at ₹300) on payments above ₹2,000 at merchants receiving over ₹1 lakh a month for three consecutive months; a flat ₹5 for fuel, telecom, rail, insurance and utilities; 0.02% for capital markets. Smaller payments, small merchants, P2P and AutoPay stay free. Deferred to after Diwali; new date to be notified.

OUR INFERENCE At 0.4% UPI stays far cheaper than cards. Watch for bills split into ₹2,000 pieces and cash discounts on big purchases.

EXHIBIT 13

UPI as a multiple of the economy

Ratio of gross payment flows to GDP and to consumption

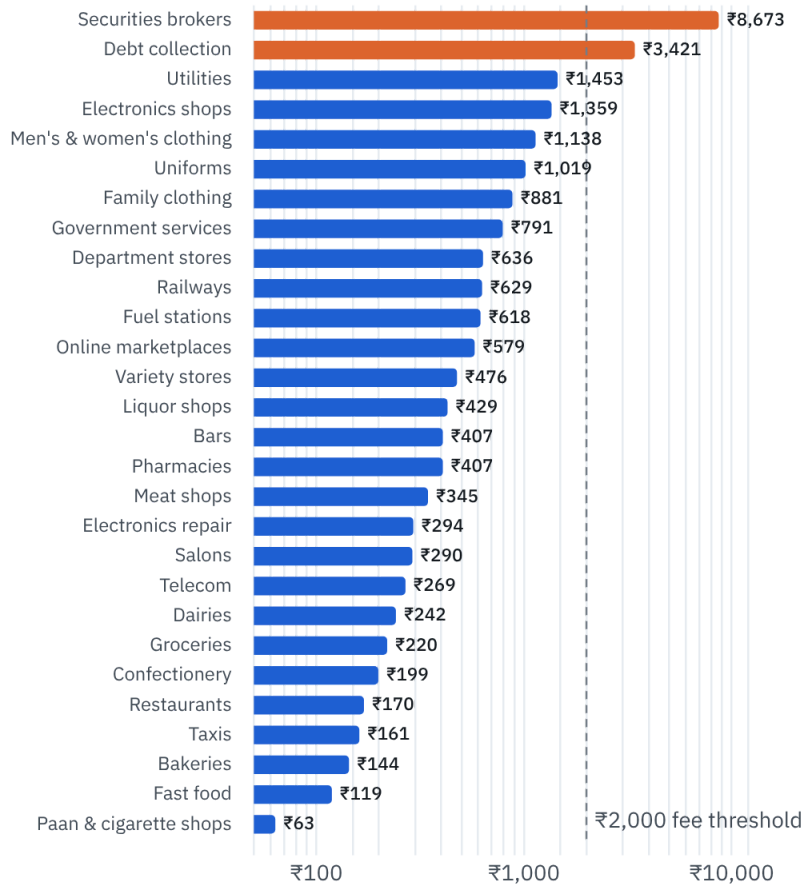


Source: NPCI; MoSPI national accounts · data/macro/size_ratios_fy.csv

EXHIBIT 14

Average payment by category

₹ per payment, Oct 2025–Sep 2026 (log scale); orange = above ₹2,000



Source: NPCI merchant category table · data/npci/merchant_categories_monthly.csv

Source: NPCI; RBI payment system indicators (all-UPI totals); MoSPI (31 Aug 2026 vintage); Department of Financial Services FAQ (fee terms); ThePrint and Indian Express (deferral, Oct 2026); analysis. An average below ₹2,000 still includes many payments above it.

Food and fuel lead; many category tickets remain below their earlier levels

HOW TO READ THE TABLE

Groceries are the largest named category at ₹9.5 lakh crore, growing 32%, with the average payment down from ₹476 to ₹220 over four years.

Blue bars beat the market: the category's compound growth exceeded all merchant UPI over the same years, so it gained share.

Brokers and lenders behave differently: they follow market rules and reclassifications, not spending.

† Debt collection: a block of large payments appears to have left this code in September 2025 (value −37% in one month, payments −12%), a possible classification break NPCI has not announced. Reported growth −18.6%; a sensitivity calculation gives +25.5% in value and +55% in payments.

EXHIBIT 15

Scoreboard: 28 selected categories

Last 12 months = Oct 2025–Sep 2026; growth on matched months; CAGR from the earliest Oct–Sep year with ≥9 matched months

Category	₹ lakh cr, last 12 months	Value growth	Payments growth	Average payment, then → now	CAGR (bar) vs all merchant UPI (tick)
Groceries	9.54	+32%	+35%	₹476 → ₹220	50% vs 45% (4y)
Securities brokers	7.85	+21%	+21%	₹8,254 → ₹8,673	39% vs 45% (4y)
Debt collection (loan repayments) †	7.59	-19%	+38%	₹8,589 → ₹3,421	15% vs 45% (4y)
Fuel stations	5.12	+30%	+25%	₹698 → ₹618	58% vs 45% (4y)
Telecom	2.74	+16%	+2%	₹207 → ₹269	44% vs 45% (4y)
Utilities	2.64	+10%	-8%	₹1,219 → ₹1,453	40% vs 45% (4y)
Restaurants	2.54	+23%	+18%	₹203 → ₹170	64% vs 45% (4y)
Fast food	2.09	+28%	+28%	₹177 → ₹119	108% vs 45% (4y)
Pharmacies	1.53	+23%	+19%	₹439 → ₹407	68% vs 45% (4y)
Electronics shops	1.38	+20%	+12%	₹1,652 → ₹1,359	48% vs 45% (4y)
Men's & women's clothing	1.34	+20%	+34%	₹1,269 → ₹1,138	20% vs 26% (1y)
Government services	1.26	+17%	+49%	₹1,392 → ₹791	52% vs 45% (4y)
Liquor shops	1.00	+70%	+68%	₹424 → ₹429	86% vs 27% (2y)
Online marketplaces	0.98	+32%	+61%	₹709 → ₹579	32% vs 26% (1y)
Uniforms	0.89	+15%	+11%	₹994 → ₹1,019	20% vs 28% (2y)
Family clothing	0.87	n/a	n/a	₹881	too few comparable months
Dairies	0.66	+35%	+43%	₹207 → ₹242	57% vs 37% (3y)
Department stores	0.61	+23%	+28%	₹517 → ₹636	33% vs 45% (4y)
Bakeries	0.61	+41%	+46%	₹176 → ₹144	75% vs 45% (4y)
Meat shops	0.52	+44%	+36%	₹328 → ₹345	59% vs 37% (3y)
Railways	0.48	+32%	+9%	₹519 → ₹629	32% vs 27% (1y)
Variety stores	0.45	+13%	+32%	₹559 → ₹476	13% vs 26% (1y)
Bars	0.44	+9%	+4%	₹402 → ₹407	12% vs 37% (3y)
Confectionery	0.31	+42%	+36%	₹180 → ₹199	46% vs 27% (2y)
Paan & cigarette shops	0.31	+49%	+45%	₹73 → ₹63	134% vs 27% (2y)
Salons	0.31	+22%	+22%	₹315 → ₹290	40% vs 37% (3y)
Electronics repair	0.29	+11%	+14%	₹301 → ₹294	11% vs 26% (1y)
Taxis	0.15	+3%	+22%	₹192 → ₹161	3% vs 26% (1y)

Source: NPCI merchant category table · data/npci/merchant_categories_monthly.csv; report/data/numbers.csv

Source: NPCI UPI ecosystem statistics (merchant category tables, Jan 2021–Sep 2026); analysis. Average payment "then" is the CAGR base year; "now" is all published months of the last 12. Broker growth uses 10 matched months.

Twelve categories up close: fast food leads four-year growth among large categories; brokers and repayments follow markets and reclassifications

Groceries and supermarkets ₹9.54L cr
Value +32% · payments +35% · avg ₹476 → ₹220 (4 yrs)



Biggest named category, still gaining share.

Restaurants ₹2.54L cr
Value +23% · payments +18% · avg ₹203 → ₹170 (4 yrs)



Growth slowing.

Fast food ₹2.09L cr
Value +28% · payments +28% · avg ₹177 → ₹119 (4 yrs)



Highest four-year growth among categories above ₹1 lakh crore.

Fuel stations ₹5.12L cr
Value +30% · payments +25% · avg ₹698 → ₹618 (4 yrs)



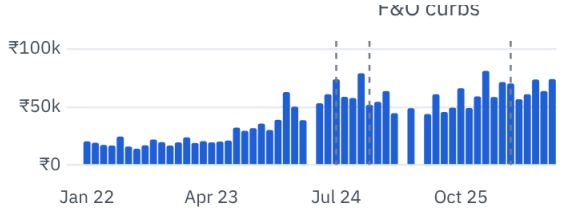
UPI value far outpacing fuel volumes.

Pharmacies ₹1.53L cr
Value +23% · payments +19% · avg ₹439 → ₹407 (4 yrs)



Steady essential.

Securities brokers ₹7.85L cr
Value +21% · payments +21% · avg ₹8,254 → ₹8,673 (4 yrs)



The tax and F&O tightening coincided with a stall.

Loan repayments (debt collection) ₹7.59L cr
Reported: value −18.6%, payments +38.3% · sensitivity: +25.5%, +55.2% · avg ₹5,811 → ₹3,421 (1 yr)



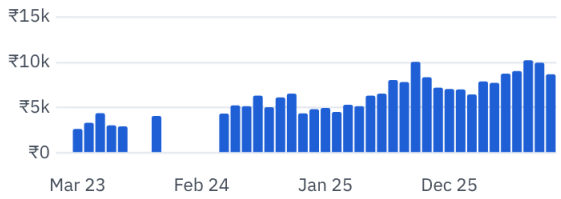
The fall may be a reclassification, not fewer repayments.

Electronics shops ₹1.38L cr
Value +20% · payments +12% · avg ₹1,268 → ₹1,359 (1 yr)



Slower payment growth, larger average ticket.

Online marketplaces ₹0.98L cr
Value +32% · payments +61% · avg ₹709 → ₹579 (1 yr)



Smaller, more frequent payments.

Men's and women's clothing ₹1.34L cr
Value +20% · payments +34% · avg ₹1,269 → ₹1,138 (1 yr, matched months)



More, smaller payments.

Liquor shops ₹1.00L cr
Value +70% · payments +68% · avg ₹424 → ₹429 (2 yrs)



Fast growth, unchanged average payment.

Telecom recharges and bills ₹2.74L cr
Value +16% · payments +2% · avg ₹236 → ₹269 (1 yr)



Payment counts nearly flat.

Source for all panels: NPCI merchant category table · data/npci/merchant_categories_monthly.csv; fuel volumes: PPAC · data/ppac/petroleum_consumption_monthly.csv

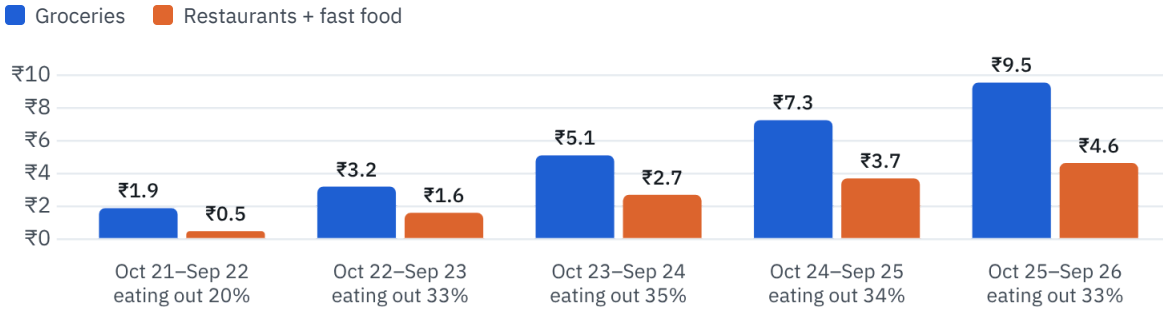
Source: NPCI UPI ecosystem statistics (merchant category tables, Jan 2021–Sep 2026); analysis; PPAC product-wise petroleum consumption, Oct 2025–Sep 2026 vs the preceding 12 months (fuel volumes). Monthly value, ₹ crore; gaps are months NPCI did not publish the category. Growth = last 12 months vs the year before; avg = average payment then → now.

Food at home and eating out move together: there is no evidence of substitution in the UPI shares

EXHIBIT 16

Groceries vs eating out

₹ lakh crore per year; label = eating out's share of the two

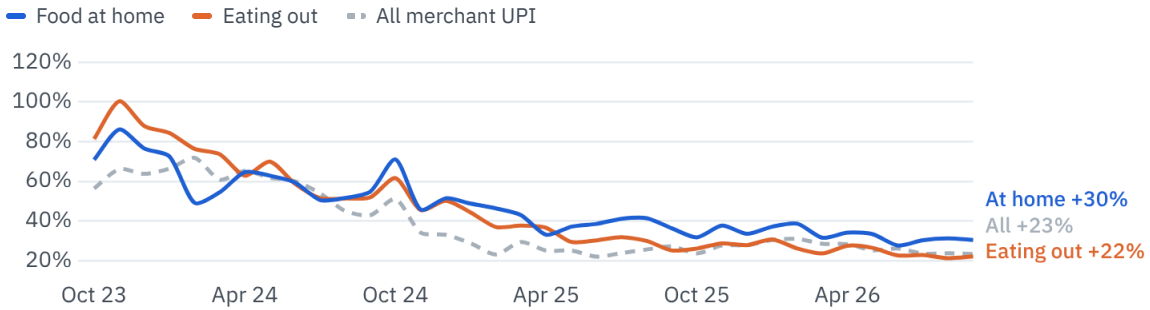


Source: NPCI merchant category table · data/npci/merchant_categories_monthly.csv

EXHIBIT 17

Monthly growth

% on the same month a year earlier



Source: NPCI merchant category table · data/npci/merchant_categories_monthly.csv; data/external/external_figures.csv

EXHIBIT 18

Three pairs, three different stories

Verdicts on UPI shares only; channel migration is not measured

Pair	What the data show	Verdict
Food at home vs eating out	Both grow and slow together. Since early 2025 food at home has grown faster (30% vs 22% in Sep 2026), and eating out's share of food payments slipped from 35% to 33%. Outside UPI: Domino's India same-store growth fell to 4.1% (9.1% a year earlier) while Swiggy and Eternal food delivery grew 18–22%.	○ No evidence of substitution in UPI shares Domino's figure covers all channels, so it does not measure dine-in; channel migration is not measured
Liquor shops vs bars	Liquor shops' share of alcohol UPI rose from 43% (Oct 2023–Sep 2024, the 11 months published for both) to 69% (Oct 2025–Sep 2026). Shop payments grew 68% with the average flat at about ₹429; bars grew 9%.	◖ Shift in UPI shares Cash at shops moving to UPI and buyers moving from bars to shops can't be separated
Online marketplaces vs clothing shops	Marketplace payments +61% with the average down from ₹709 to ₹579; clothing-shop payments +34% with the average down from ₹1,269 to ₹1,138. Both are getting smaller and more frequent.	○ Both growing Cheaper, more frequent buying

Source: NPCI merchant category table · data/npci/merchant_categories_monthly.csv; Jubilant, Swiggy and Eternal results · data/external/external_figures.csv

Source: NPCI UPI ecosystem statistics (merchant category tables, Jan 2021–Sep 2026); analysis; Jubilant FoodWorks, Swiggy and Eternal results for Jul–Sep 2026. Exhibit 16 uses groceries (5411) only; in Exhibit 17, food at home also includes dairy, meat and bakeries. The 2022→2023 jump in eating out likely reflects restaurants adopting UPI; habits are not measured.

Vehicle buying jumped after the GST and rate cuts; the income-tax relief is consistent with the UPI data but not proven by it

WHAT THE DATA SHOW

Income tax (April 2025): consumer UPI growth slowed from 44.3% to 29.6% as adoption matured, and discretionary slowed more (45.5% → 26.2%) than essentials (43.9% → 30.6%).

Across states, the most-taxed group went from losing UPI share (−8.2) to holding it (+0.4); the least-taxed went from +6.9 to −2.6. Real consumption growth rose from 6.4% to 7.2%.

Consistent with a tax effect, not proof

Maharashtra drives most of the top group's earlier fall, and unclassified UPI jumped from 26% to 42% in Apr–Jun 2025.

GST cut (22 Sep 2025): cars +22.5%, two-wheelers +21.1% (6.1% and 4.8% the year before). Rate cuts came at the same time, so the two can't be separated.

EXHIBIT 19

Consumer UPI by financial year

₹ lakh crore and growth, 13-category basket

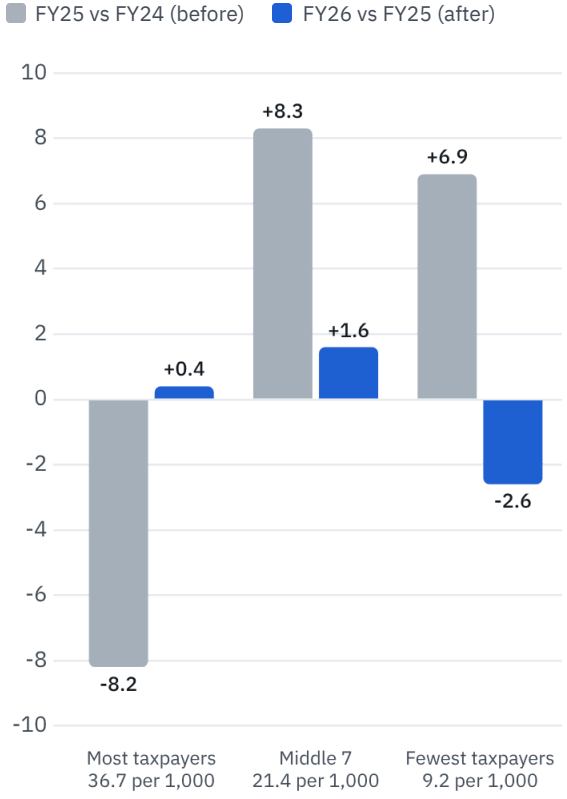


Source: NPCI merchant category table · data/npci/merchant_categories_monthly.csv

EXHIBIT 20

Change in UPI share by taxpayer density

Log points; 21 states in three groups of 7, by positive-tax filers per 1,000 people

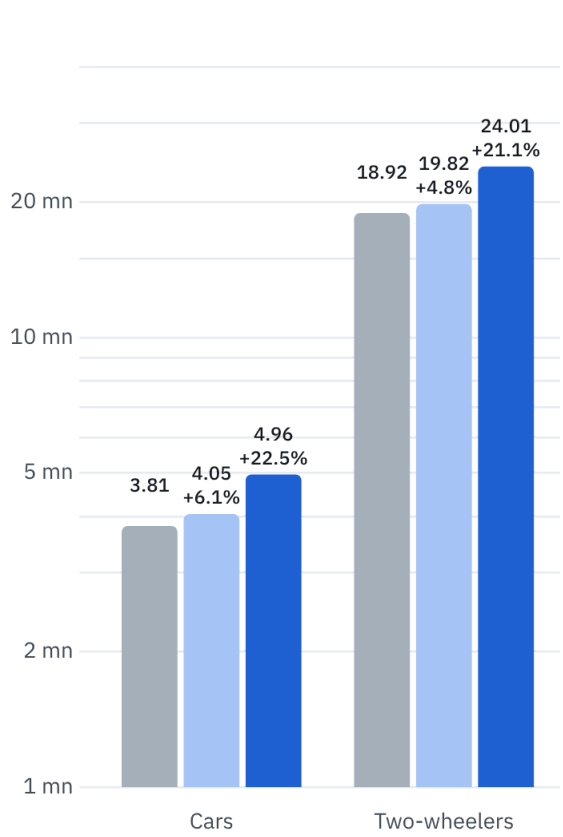


Source: NPCI state table; MoF Lok Sabha Q946; MoHFW · data/npci/state_monthly.csv.gz, data/tax/state_income_tax.csv, data/macro/state_population_projection.csv

EXHIBIT 21

Vehicle registrations

Million per Oct–Sep year (log scale) and growth



Source: Vahan4 dashboard · data/vahan/vahan_state_monthly.csv.gz

Source: NPCI state and merchant tables; Ministry of Finance, Lok Sabha Q946 (10 Feb 2025), annexures A/B via TaxGuru (positive-tax filers, all assessee types, FY2023–24); MoHFW population projections; GST Council/CBIC notifications (22 Sep 2025 rates); Vahan4; FADA; MoSPI; analysis. Small cars and two-wheelers up to 350cc went from 28% GST to 18%; larger ones to 40%.

₹11.2 lakh crore was added to non-housing consumer credit in a year; 76.5% sits in loans whose end-use is unobserved

WHAT THE DATA SHOW

Vehicle, durable, education and card categories are 23.5% of the net increase. Vehicle, durable and education loans are normally taken to buy a specific item, though top-ups and refinancing exist.

Gold, personal and other loans make up the other 76.5%. They may fund spending, but lenders don't report what the money is spent on.

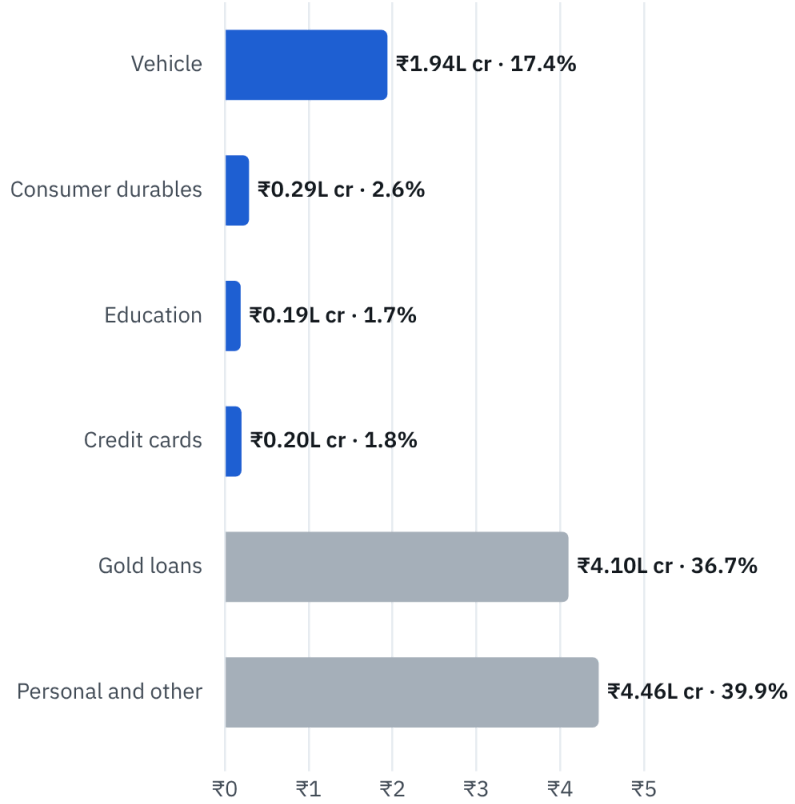
A broad upswing: all bank credit grew 19.4% (3 Oct 2025 → 30 Sep 2026), up from 11.4%. Gold loans: banks +83%, NBFCs +69%. Pricier gold lets households borrow more per gram; one bank has also moved some farm loans into gold loans since May 2024.

These are shares of the net increase in outstanding balances, not new loans disbursed.

EXHIBIT 22

Where the extra ₹11.2 lakh crore went

Net increase in outstanding, ₹ lakh crore and share; blue = vehicle, durable, education and card categories

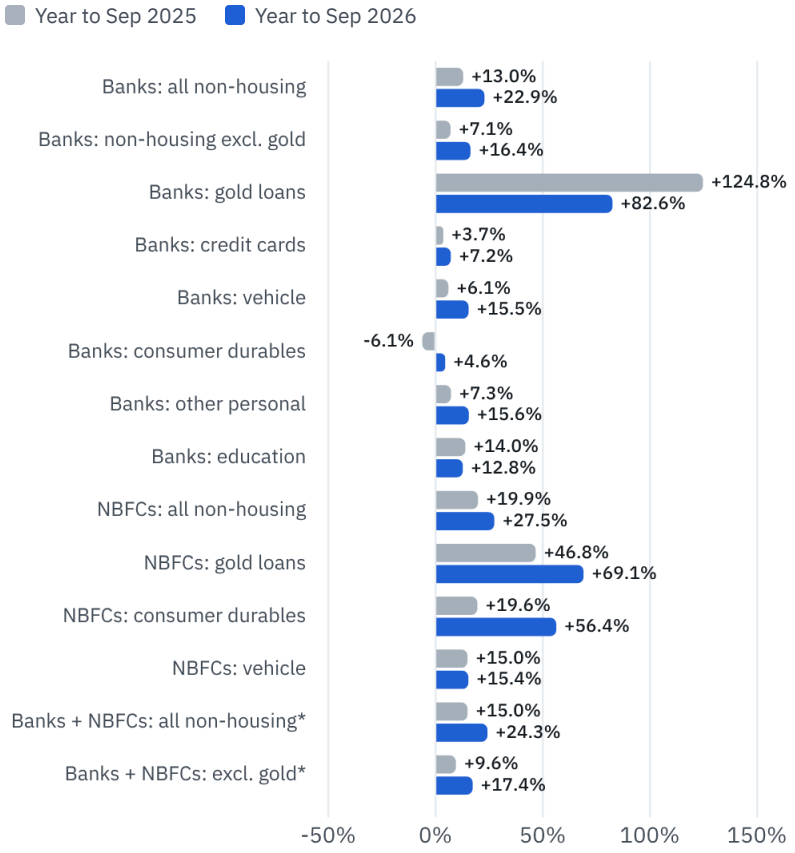


Source: RBI sectoral credit (30 Oct 2026), NBFC sectoral credit (6 Oct 2026) · data/rbi/consumer_credit_levels.csv (from data/rbi/raw/); calculation: report/data/numbers.csv (credit_split)

EXHIBIT 23

Consumer credit growth by lender and loan type

% growth, year to Sep 2025 vs year to Sep 2026 (NBFCs: August)



Source: RBI sectoral credit (30 Oct 2026), NBFC sectoral credit (6 Oct 2026) · data/rbi/credit_growth_prepost.csv, consumer_credit_levels.csv

Source: RBI sectoral deployment of bank credit (30 Oct 2026; banks 19 Sep 2025 → 30 Sep 2026, covering ~95% of non-food credit); RBI NBFC sectoral credit (6 Oct 2026; upper and middle layers, ~87% of NBFC credit); analysis. Housing excluded. * Indicative: NBFC August added to bank September.

Vehicle loans and purchases rebounded together; for gold and personal loans, the link to spending is unmeasured

EXHIBIT 24

Credit next to spending

Credit growth: year to Sep 2025 → year to Sep 2026; spending signals from UPI, Vahan and company results

Credit line	Credit signal	Matching spending signal	Read
Vehicle loans	Banks 6.1% → 15.5%; NBFCs ~15%	Cars 4.05 → 4.96 mn (+22.5%); two-wheelers 19.8 → 24.0 mn (+21.1%)	Purchases and loans rebounded together after the GST and rate cuts; the policy role is plausible, not isolated. Vehicles are not a UPI category.
Consumer durables	NBFCs 19.6% → 56.4% (₹0.78 lakh cr); banks' book is tiny (₹0.23 lakh cr)	Electronics-shop UPI slowed, 35% → 20%; average payment up 7% to ₹1,359	Consistent with more big-ticket electronics bought on EMI, with UPI seeing smaller purchases and down-payments; payment channels are not measured directly.
Gold loans	Banks +83% (+125% a year earlier); NBFCs 47% → 69%	Gold price up roughly a quarter to a third (late Sep 2025 → 29 Sep 2026, different quote benchmarks); Titan jewellery +21% with buyers up mid-single digits	Pricier gold lets households borrow more per gram; part is the farm-loan reclassification. A liquidity signal more than a spending one.
Credit cards	Balances 3.7% → 7.2%	Merchant UPI +26%; card payments +8% (FY26)	UPI payment value grew faster than card payments.
Other personal loans	Banks 7.3% → 15.6%	Discretionary UPI growth slowing (22% → 18%, Sep on Sep)	Borrowing picked up after RBI eased risk weights on bank lending to NBFCs and microfinance (Feb 2025) and cut rates, while discretionary UPI kept slowing. INFERENCE Some borrowing is plugging budgets, not funding extra spending.
Loans against deposits	Banks 14.3% → 53.3%	n/a	FD-backed borrowing rose; motives unmeasured.

Source: RBI sectoral credit; Vahan4; NPCI; RBI PSI; Titan; gold prices (page 20) · data/rbi/consumer_credit_levels.csv, credit_growth_prepost.csv; data/vahan/vahan_state_monthly.csv.gz; data/npci/merchant_categories_monthly.csv; data/macro/card_spend_monthly.csv; data/external/external_figures.csv

Source: RBI sectoral credit; Vahan4; NPCI; Counterpoint; Titan Q2 FY27 results; gold prices (All India Radio, Navbharat, PTI); RBI (Feb 2025 risk weights on bank lending to NBFCs and microfinance); analysis. Down-payments and EMIs can be paid by UPI, so neither dataset splits spending by how it was funded.

Real consumption grew 7.2% in FY26; in late 2026 prices rose and confidence weakened

EXHIBIT 25

Eight hypotheses, tested

Verdicts combine UPI, national accounts, credit, registrations and company results

Hypothesis	Verdict	Evidence
UPI growth is a measure of consumption growth	◖ Partly	About 35% of FY26 merchant-UPI growth (26.5%) matches consumption growth (8.5% nominal), up from 19% in FY24 (an accounting split, not a causal estimate). Cash held by the public still grew 12% while ATM withdrawals fell 6%.
Spending per person is falling	✕ Not in aggregate	Real consumption grew 7.2% in FY26 and 7.1% in Apr–Jun 2026; population grows about 0.9% a year, so real spending per person rose about 6%. UPI can't measure per-person spending because users and merchants are still being added.
Growth is getting more price-led (2026)	✓ Yes, recently	HUL: sales +15% on 7% volume (the rest is price and mix). Havells raised prices 10–25% across a broad range (cables over 30%). Titan: buyers up mid-single digits, average ticket up double digits. CPI 1.5% (Sep 2025) → 5.5% (Sep 2026, new base). Non-durable consumer goods output (an indicator, not household spending) +0.6% in Jul–Aug 2026 (RBI). Not true of FY26 as a whole: the consumption price deflator rose only about 1.2%.
Income-tax relief lifted consumer spending	◖ Consistent, not proven	Real consumption accelerated (6.4% → 7.2%) and UPI shifted toward high-taxpayer states, but consumer UPI growth slowed, state shares are distorted by unclassified UPI, and the GST cut and rate cuts overlap (section 7).
Vehicle buying rebounded after the GST cut	✓ Yes; policy role plausible, not isolated	Registrations 5–6% → 21–22% growth; FADA October 2025 +40.5%. No clear sign yet that it pulled demand forward from later months (Navratri 2026 per-day registrations +2.8%).
Eating out is replacing cooking at home	✕ No evidence in UPI shares	Eating out's share of food UPI flat at 33–35% since 2023. Domino's same-store +4.1% covers all channels, so it does not measure dine-in; food delivery +18–22%. Channel migration is unmeasured.
Credit is funding vehicle and durable purchases	✓ Very likely	These loans are normally taken to buy the item, with the vehicle as collateral (some lenders also offer top-ups and refinancing, so this can't be certified). Vehicle loans added ₹1.9 lakh crore (banks 6.1% → 15.5% growth; NBFCs ~15%) in the same year registrations jumped 21–22%. NBFC consumer-durable loans +56%. Commercial vehicles (goods carriers +25%) are financed mainly through business loans: bank credit to transport operators grew 24.6% (it also funds working capital).
Credit is funding everyday spending more broadly	◖ Possible, not measured	76.5% of the ₹11.2 lakh crore added to non-housing consumer credit is in gold loans (37%) and personal and other loans (40%); end-use is unobserved. Lenders don't report what that money is spent on (medical bills, school fees, repaying other debt, a small business or shopping). Higher gold prices let households borrow more against the same jewellery; they don't raise existing balances by themselves. Counterpoint expects 42% of smartphones to be bought on finance in 2026 (35% in 2025).

Source: NPCI; MoSPI; RBI; Vahan4; FADA; company results (page 20) · data/macro/size_ratios_fy.csv, gdp_pfce_quarterly.csv; data/npci/state_monthly.csv.gz, merchant_categories_monthly.csv; data/tax/state_income_tax.csv; data/vahan/vahan_state_monthly.csv.gz; data/rbi/consumer_credit_levels.csv, raw/SIBC30102026E.xlsx; data/macro/state_population_projection.csv; data/external/external_figures.csv

Source: MoSPI; RBI; NPCI; Vahan4; FADA; Counterpoint; HUL, Havells and Titan results; analysis. UPI overstates the pace of consumption because it is still taking share.

Outside UPI, HUL volumes and DMart revenue are up, but confidence, inflation and staples stocks point to caution

EXHIBIT 26

The outside view: public markets and official surveys

Company figures are Jul–Sep 2026 against Jul–Sep 2025 unless stated

Signal	A year earlier	Latest	Read
Real private consumption growth (MoSPI, base 2022-23)	6.4% (FY25)	7.2% (FY26); 7.1% (Apr–Jun 26)	Healthy, steady
RBI urban confidence, current situation	96.9	87.9 (Sep 26)	Weaker
RBI urban confidence, year ahead	125.0	113.5	Weaker; households expect 10% inflation
CPI inflation (September)	1.5%	5.5%	Prices squeezing budgets; repo raised to 5.50% on 7 Oct (bases differ: 2012 vs 2024)
HUL underlying volume growth (Jul–Sep)	Flat	7%	Volumes back, off a GST-disrupted base
DMart revenue growth (Jul–Sep)	15.4%	18.4%	Value retail firm
Domino's India same-store growth	9.1%	4.1%	Pizza chain soft (all channels)
Swiggy food delivery order value growth (GOV)	18.8%	17.7%	Delivery steady; Eternal food delivery net order value (NOV) +21.5%
Quick commerce: Blinkit net order value (NOV) / Instamart gross order value (GOV)	137% / 108%	79% / 31%	Normalising from a high base
Titan jewellery growth	19%	~21%	Price-led: more per buyer, few new buyers
Smartphones bought on finance	35% (2025)	42% (2026 forecast)	More durables on EMI (Counterpoint)
Nifty FMCG, 2026 to 27 Oct	n/a	−22% (Nifty 50 about −13%)	Staples equities underperformed; cause not isolated

Source: MoSPI; RBI surveys; NSO CPI; company results; Counterpoint; Mint (links on page 20) · data/external/external_figures.csv, data/macro/gdp_pfce_annual.csv

OUR READ

7.2%

Real private consumption growth in FY26 (7.1% in Apr–Jun 2026): healthy and steady.

Company sales reflect price and mix as well as volume. HUL sales +15% on 7% volume; Havells raised prices 10–25%; Titan buyers up only mid-single digits.

Confidence is weaker: RBI urban current-situation index 96.9 → 87.9; households expect 10% inflation.

OUR INFERENCE The October rate hike and 5.5% inflation make the next two quarters the test. If company volumes hold and discretionary UPI stops slowing, the "cautious consumer" reading is wrong.

Source: MoSPI; RBI Consumer Confidence Survey and Household Inflation Expectations Survey (Sep 2026); PIB CPI; company results; Mint (Nifty indices). Revenue, order value and same-store growth are different measures, not volume.

The south and west lead on UPI money moved per person; most metro cores run 2–3.5 times their state average

WHAT THE DATA SHOW

Kerala, Tamil Nadu and Jammu and Kashmir grew fastest; West Bengal grew slowest in value (+11.7%) though its payment count rose 18.5%.

Kolkata is 3.5× West Bengal's average; its level is the lowest with Ahmedabad's. Hyderabad is 1.6×: its core district holds only 27% of the metro's UPI (HITEC City is in Ranga Reddy); metro-wide it is about ₹77,500.

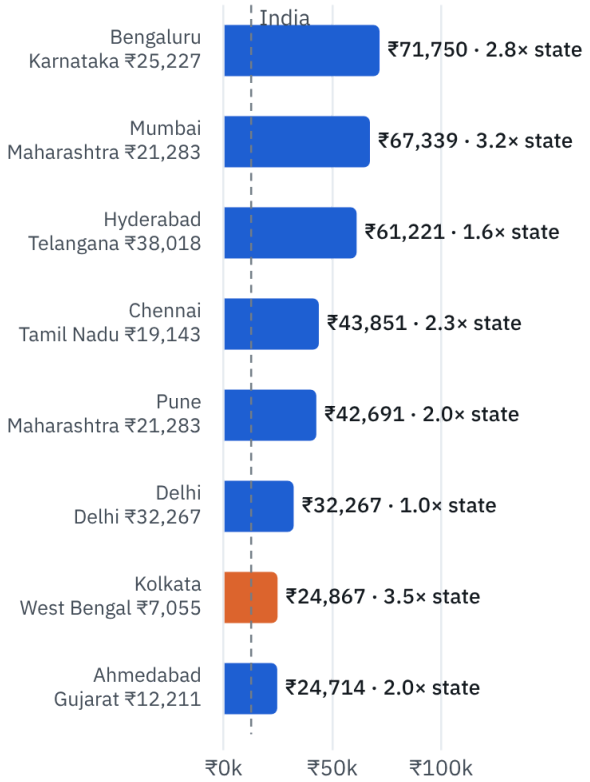
Money moved, not income: gross flows, including transfers between people. All UPI per person (₹2.5 lakh a year) is close to GDP per person (₹2.4 lakh). About 39% of UPI value has no state.

City populations are 2026 estimates for the same districts: each 2011 Census count (today's boundary) grows at its 2001–11 pace relative to its state. World Population Review's metro figures are a cross-check in the data.

EXHIBIT 27

Metro core: UPI money moved per resident per month

₹, Jul–Sep 2026; label = multiple of the state average



Source: NPCI district table; MoHFW; Census 2001 and 2011 · data/npci/district_monthly.csv.gz, district_snapshot.csv, state_monthly.csv.gz; data/macro/state_population_projection.csv, census_district_growth.csv; cross-check: city_population_wpr_2026.csv

EXHIBIT 28

States: UPI money moved per resident, and growth

Jul–Sep 2026; growth vs Jul–Sep 2025

State	₹ moved per resident a month	Value growth	Payment growth	Payments a month
Telangana	₹38,018	+18.4%	+18.8%	24.5
Delhi	₹32,267	+21.2%	+16.8%	25.0
Karnataka	₹25,227	+21.1%	+17.1%	18.1
Maharashtra	₹21,283	+18.1%	+19.5%	18.1
Haryana	₹20,721	+18.7%	+16.9%	14.9
Andhra Pradesh	₹20,584	+19.9%	+24.2%	12.5
Kerala	₹19,238	+27.7%	+29.7%	13.9
Tamil Nadu	₹19,143	+25.7%	+25.0%	12.7
Punjab	₹13,367	+21.9%	+20.8%	8.2
Uttarakhand	₹13,243	+20.3%	+19.0%	10.9
India (classified)	₹12,733	+19.0%	+20.0%	9.4
Gujarat	₹12,211	+21.7%	+19.3%	8.2
Himachal Pradesh	₹11,269	+23.2%	+21.1%	8.8
Rajasthan	₹10,181	+13.7%	+13.6%	7.2
Jammu and Kashmir	₹9,870	+29.7%	+31.0%	7.7
Odisha	₹8,765	+14.4%	+16.7%	7.1
Madhya Pradesh	₹7,129	+16.1%	+17.5%	5.6
West Bengal	₹7,055	+11.7%	+18.5%	5.1
Assam	₹6,882	+17.0%	+25.6%	6.8
Uttar Pradesh	₹6,342	+16.8%	+20.2%	5.2
Jharkhand	₹6,022	+13.4%	+17.6%	4.9
Chhattisgarh	₹5,992	+14.4%	+16.5%	4.9
Bihar	₹4,947	+14.3%	+24.7%	3.8

Source: NPCI state table; MoHFW projections · data/npci/state_monthly.csv.gz, data/macro/state_population_projection.csv

Source: NPCI state and district UPI tables; MoHFW Technical Group population projections 2011–2036; Census 2001 and 2011; World Population Review (cross-check); analysis. 22 states with 5 million+ people; includes person-to-person transfers. District data start in March 2026, so city growth rates are not yet available.

What this data can't tell us, and how every number was built

LIMITS

Spending per person. UPI adds users and merchants every month, so UPI per resident mixes adoption with spending.

Category by place. NPCI doesn't publish categories by state or district.

Most of the growth. NPCI's "Others" is 45% of merchant value and took 57.8% of last year's increase; 65.9% falls outside this report's category attribution.

Cause and effect. Tax changes, rate moves and festival timing overlap, with no untouched comparison group. The verdicts are associations backed by several sources, not causal estimates.

Prices. UPI figures are nominal. In a Jan–Aug 2026 test using approximate category CPI proxies (inflation 0.4–10.9%), growth fell by 0.5–14.1 points and none of the 26 tested series changed sign.

Debt collection. NPCI did not announce a reclassification; our reading rests on the size and timing of the September 2025 drop and the matching average payment of the credit-card bill category. Confirming it needs an NPCI mapping notice.

Revisit after the festive season. This edition runs to September 2026. Diwali fell on 20 October in 2025 but falls on 8 November in 2026, and Navratri and the big online sales moved from late September to October, so October on its own will mislead. We will revisit clothing, electronics, online marketplaces and department stores once October–November 2026 data are out (expected December 2026), comparing September–November with the same months a year earlier.

METHOD

Growth `value ÷ value a year earlier − 1`, on months published in both periods.

CAGR `(last year ÷ base year)^(1 ÷ years) − 1`, matched months.

Consumption part of UPI growth `ln(1 + PFCE growth) ÷ ln(1 + UPI growth)`. Logs, because (1 + UPI growth) = (1 + consumption growth) × (1 + share gain) compounds; we use an exact, order-independent log-accounting split. FY26: 0.082 ÷ 0.235 = 35% (8.5 ÷ 26.5 = 32% leaves 1.4 points unassigned). Consumption = MoSPI PFCE, current prices; merchant UPI includes ~₹15 lakh crore a year of investment and repayment flows.

Cash share `1 − digital consumer payments ÷ PFCE`; digital = UPI merchant + Aadhaar Pay + FASTag + card and wallet payments at shops, minus UPI to brokers, lenders, card bills and digital gold. Extends Bhuyan, RBI Bulletin (Oct 2024); reproduces its FY23–FY24 digital totals.

Break-adjusted growth (sensitivity): pre-break months scaled by Sep ÷ Aug 2025.

Per resident `classified UPI ÷ population ÷ months`; **state share change** `100 × ln(share ÷ share last FY)`.

Checks. All plotted values and text numbers were checked against raw files or primary sources; changed values and all 218 scoreboard fields were recomputed from raw data.

SOURCES

NPCI UPI ecosystem statistics via the measure.thisindianlife.today archive (npci.org.in was unreachable on 1 Nov 2026), spot-checked against NPCI's August 2025 table; P2M totals match NPCI's P2P/P2M table every month.

- MoSPI national accounts, Q1 FY27 (press note, factsheet)
- RBI sectoral deployment of bank credit, 30 Oct 2026; NBFC sectoral credit, 6 Oct 2026; Handbook Table 36 (currency); payment system indicators (ATM, cards)
- RBI consumer confidence and household inflation expectations, Sep 2026 (RBI, RBI)
- RBI monetary policy statement, 7 Oct 2026 (rbi.org.in); CPI Sep 2026 (PIB)
- Population: MoHFW Technical Group projections 2011–2036 (report); Census 2001 and 2011 district totals (Table A-2); city populations cross-check: World Population Review, 2026 (worldpopulationreview.com)
- Vahan4 registration dashboard (parivahan.gov.in); FADA October 2025 (FADA); Navratri 2026 (TOI Auto)
- HUL Q2 FY27 (Business Standard); DMart (Kotak Neo); Jubilant (Kotak Neo)
- Eternal (Business Standard); Swiggy (Indian Startup News); Titan (Kalkine); Havells (Investing.com)
- EMI share of electronics (Business Standard); Nifty FMCG 2026 (Mint)
- UPI merchant fee (Department of Financial Services FAQ; deferral, ThePrint); FY27 incentive (Business Standard)
- Capital gains and STT (Zerodha, PRS); SEBI F&O rules (Business Today); RuPay credit on UPI (Rajya Sabha Q889)
- Gold price (All India Radio, Navbharat, PTI via Free Press Journal); RBI cash-use article (summary)

Figures and links archived in data/external/external_figures.csv.